THE INDIE GAME STUDIO

PATH TO WEALTH

Dr. Richard B. Johnson

UNCG Game Development Club

A strategic roadmap for building a high-value game studio, securing intellectual property, and achieving multigenerational financial independence.

Goal: The Multigenerational Wealth

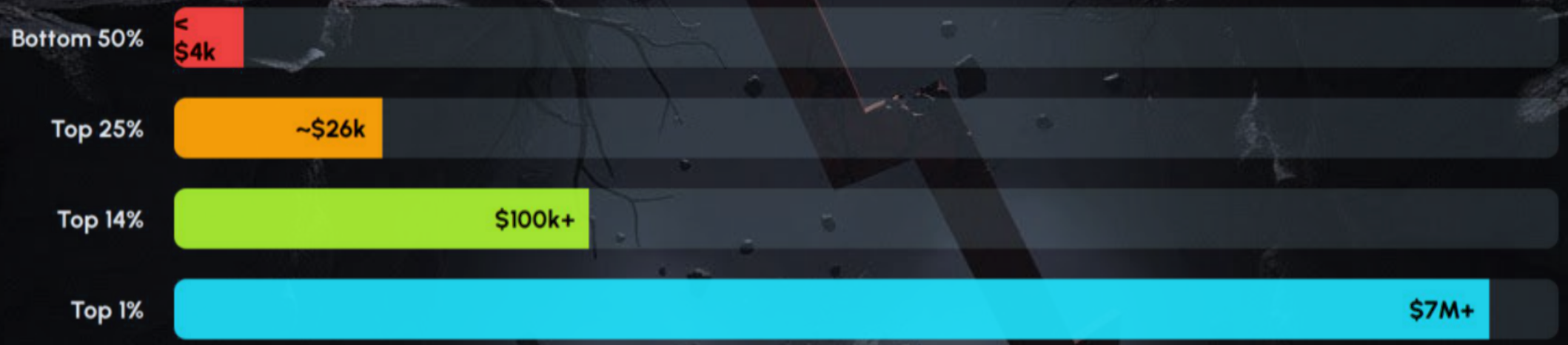
The Vision

Creating "**Multigenerational Wealth**" implies building assets that outlast a single career. In the game industry, this is rarely achieved by salary alone. It requires equity, ownership, and scalable IP.

The Reality Check

Most indie games fail to generate profit. To defy the odds, you must treat your studio not just as a creative outlet, but as a disciplined **Intellectual Property Factory** designed to fund a broader investment vehicle.

Market Reality: THE REVENUE CLIFF



- Revenue is gross, before platform fees (30%), taxes, and expenses.
- Aiming for the Top 1% requires a rigorous business strategy.

The Strategic Roadmap

Phase 1: Prep

De-Risking: Keep your day job. Bootstrap development. Build a Minimum Viable Product (MVP) to test the market without bankruptcy risk.

Phase 2: Build

Studio Foundation: Form the legal entity. Secure all IP rights. Establish the "Studio" as a business asset distinct from yourself.

Phase 3: Scale

Wealth Generation: Reinvest game profits into diverse assets. Expand IP into franchises. This is the "Engine to Vehicle" transition.

Phase 1: The Portfolio Strategy

Start Small, Ship Fast: Don't start with your magnum opus. Release small titles to learn the pipeline and build a community.

Bootstrapping: Use salary from your primary job to fund development. Avoid debt at all costs in this volatile stage.

Skill Acquisition: Master a high-value role (Code, Art, or Design) to reduce initial hiring costs.

Phase 2: Business & Legal
Building the Foundation

You cannot build a skyscraper on a swamp.

Correct legal structure and IP ownership are non-negotiable for future value.

Legal Entity: LLC vs. C-Corp

Feature	LLC (Limited Liability Company)	C-Corporation
Best For	Bootstrapping & Small Teams	Seeking VC Investment & Scale
Taxation	Pass-through (No double tax)	Double Taxation (Corp + Dividend)
Ownership	"Members" (Flexible split)	"Shareholders" (Stock shares)
Equity/Options	Difficult to issue to employees	Standard (Stock Options/ESOP)
Admin Burden	Low (Minimal formalities)	High (Board meetings, minutes)

Protecting the Asset

Work For Hire

By default, contractors own what they create.

You **MUST** have a written "**Intellectual Property Assignment**" or "**Work Made For Hire**" agreement.

Without this, your studio does not own the code or art, making the company worthless to investors or publishers.

Phase 3: The 50% Rule

Resource Allocation

- 50% Game Development
- 50% Marketing & Community

An amazing game with zero visibility yields zero revenue. Marketing begins on Day 1 of development.

The Wealth Engine

The Engine

The Studio generates high-risk, high-reward cash flow from game sales, DLC, and merchandising.

Extraction

Profits are efficiently extracted via salary and distributions (LLC) or dividends (Corp) to the founders

The Vehicle

Cash is moved into low-risk, diversified assets (Index Funds, Real Estate). **This** creates the multigenerational safety net.

Estimated Roadmap

Year 1

Skill building.
MVP Prototype.
Zero Debt.

Year 2-3

Form Entity.
Full Production.
Community Build.

Year 4+

Launch Title.
Reinvest Profit.
Diversify Assets.

Build the Asset.
Own the Future.
The game is just the beginning.
The studio is the machine that builds your freedom.